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Australia Materials | Asia Pacific

China and the Miners

Our monthly report summarizes key data/charts from China to give investors quick insights into China's macroenvironment and its demand for mineral resources.

China view – Growth softens on weak domestic demand: Our China economics team notes that May activity reinforces a more entrenched two-speed economy, with export-led production holding up while domestic consumption and investment weaken. Retail sales turned negative and the property sector remains fragile. Weaker govt. bond issuance and infrastructure FAI slump reflect a project-pipeline lull post-1Q front-loading. They see 2Q GDP tracking at 4.4% YoY, and expect policy to step up capex-focused fiscal rollout from 3Q, particularly support for AI computing networks, data centers, and smart grids under the "Six Networks" initiative as geopolitical tensions reinforce the imperative of energy security and tech self-sufficiency (see [here](#)).

Macro – Property outlook weakens: China's IP was 4.5% YoY in May (April 4.1%); May PMI was 50 (April 50.3). May CPI was 1.2% YoY (April 1.2%). New property starts fell 24.7% YoY in May (April -27.1% YoY) and GFA sold fell 14.1% YoY in May (April -10.3% YoY). [Our China property team](#) expects a weaker 3Q. Secondary real-time home sales in high-tier cities started weakening in mid-May, and have decelerated even faster in recent weeks. Considering still-fragile resident sentiment, diminishing policy effects/pent-up demand, and reduced new saleable resources, the team estimates secondary home sales will turn negative y-y and primary home sales will drop further y-y in 3Q, despite the low base. FAI was down 12.5% YoY in May (April -9.4% YoY). May aluminum production was up 1.7% YoY to 3.9mnt, reflecting capacity resumption in Liaoning and new capacity in Inner Mongolia.

Commodities data – Steel activity slowed: Steel exports in May decreased 2% YoY to 10.3mnt and crude steel output was down 2.7% YoY, while domestic steel apparent consumption fell 8.5% YoY. China's iron ore imports were flat YoY in May at 98mnt. Port inventories began to draw down gradually during the month but remain elevated.

How are we positioned? BHP.AX remains our preferred diversified exposure, supported by low-cost WAIO cash generation with accretive 330Mtpa expansion optionality, Copper SA valuation upside, potential for further asset crystallisation, and stronger long term growth profile than peers ([see our recent insight note here](#)). Our iron ore order of preference: **BHP.AX (OW)**, **DRR.AX (OW)**, **RIO.AX (EW)**, **FMG.AX (UW)**. **OW WHC.AX** for coal exposure, potentially benefitting from reduced NSW/QLD logistics disruptions, and weaker SE Asia hydropower supporting thermal coal demand under a strong [El Niño](#) scenario. For lithium, we see balanced risk-reward currently; we are **EW PLS**, still preferred over **IGO (UW)** with the Greenbushes LOM plan still a key uncertainty.

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Asia Summer School 2026

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[Iluka Resources Ltd: Commercial offtake validates industry and ILU's project, unlocks funding \(23 Jun 2026\)](#)

[Australia Materials: Takeaways from Rare Earth Permanent Magnet Industry Discussion \(23 Jun 2026\)](#)

[Energy Security: Virtual ASEAN Summit 2026 Feedback: Rare Earths, Power Grids and AI \(22 Jun 2026\)](#)

[BHP Group Ltd: Jansen Stage 2 capex and schedule reset in line with MSe \(18 Jun 2026\)](#)

[Sustainability & Metals & Mining: EU's Critical Raw Materials Security in a Multipolar World \(5 Jun 2026\)](#)

[Asia Energy Security and AI: Energy Meets Compute: Supercycle Recharges \(21 May 2026\)](#)

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Industrial Production Data and Trade Data

IP data:

New starts were down 24.7% YoY in May, and GFA sold fell 14.1% YoY, while property completions were down 19.6% YoY. [Our China property team](#) expects a weaker 3Q. Secondary home sales in high-tier cities started weakening in mid-May and are likely to turn negative y-y, while primary sales also appear set to decline further y-y despite a low base, driven by fragile resident sentiment, diminishing policy effects/pent-up demand, and fewer new saleable resources.

Domestic steel apparent consumption decreased 8.5% YoY in May, on apparent inventory buildup amid a 2% slowdown in net exports, together with a 9% decline in net exports while key steel mills production was down 4.4% YoY.

May aluminum production was up 1.7% YoY, to 3.9mnt, driven by capacity resumption in Liaoning and new capacity in Inner Mongolia. As operating capacity has reached a ceiling, we expect overall aluminum production to stay at an elevated level for the remainder of the year given solid industry profitability.

May coal production was down 1.7% YoY but up 3% MoM to 397.2mnt. The MoM recovery in coal production follows the seasonal trend, as restocking demand from power plants should gradually increase to prepare for the summer peak consumption season. However, a mine accident and tighter safety controls could cause domestic coal production to remain constrained in the near term. Thermal power generation rose 2.1% YoY in May to 472.6bn kWh, accounting for 60% of total power generation, vs. 62% in Apr-26.

Trade data:

Iron ore imports were flat YoY in May to 98Mt. Port inventories in China started to draw down gradually during the month but remain elevated. Pig iron production at steel mills is down 2% YTD.

Coal imports decreased 8% YoY but rose 1% MoM in May to 33Mt. Total YTD coal imports reached 183Mt, down 3% YoY. The decline reflected seasonal weakness in demand during a slower consumption period, along with higher imported coal prices. As domestic coal prices increased, the import arbitrage reopened, which we expect to support a MoM rebound in coal imports in June.

The following material was published in a report titled: [China Materials: May IP Data: Aluminum Production Maintained an Upward Trajectory \(16 Jun 2026\)](#)

Property – New starts down 24.7% YoY in May (vs. -27.1% YoY in April). GFA sold fell 14.1% YoY (vs. -10.3% YoY in April) and property completions were down 19.6% YoY (vs. -19% YoY in April), all based on restated data for 2025. [Our China property team](#) expects a weaker 3Q. Secondary real-time home sales in high-tier cities started weakening in mid-May, and have decelerated even faster in recent weeks. Considering the still-fragile resident sentiment, diminishing policy effects/pent-up demand, and reduced new saleable resources, the team estimates secondary home sales will turn negative y-y, and primary home sales will drop further y-y in 3Q despite the low base.

FAI was down 12.5% YoY in May 26 (vs. -9.4% YoY in April). Highway FAI slipped 13.8% YoY.

Crude steel output was -2.7% YoY in May (vs. -2.8% YoY in April). 5M26 production was down 3.9% YoY. We estimate domestic steel apparent consumption was down 8.5% YoY (vs. +1.2% in April) on an apparent inventory buildup, amid a 2% slowdown in net exports.

Cement production was -8.1% YoY in May (vs. -10.8% YoY in April). 5M26 production was down 8.6% YoY. Output YoY decline narrowed due to lower base numbers. Cement prices in east China remained weak in early June due to weak downstream demand, wet weather, and college entrance examinations.

Aluminum production up 1.7% YoY and 0.5% MoM to 3.9mnt in May 26. Total aluminum production in 5M26 rose 3.5% YoY to 19.2mnt, driven by capacity resumption in Liaoning and new capacity in Inner Mongolia. As operating capacity has reached a ceiling, we expect overall aluminum production to stay at an elevated level for the remainder of the year given solid industry profitability.

Coal production down 1.7% YoY but up 3% MoM to 397.2mnt in May 2026. The MoM recovery in coal production follows the seasonal trend, as restocking demand from power plants should gradually increase to prepare for the summer peak consumption season. However, a mine accident in late May and tighter safety controls in June will likely see domestic coal production remain constrained in the near term. Thermal power generation rose 2.1% YoY in May to 472.6bn kWh, accounting for 60% of total power generation vs. 62% in Apr-26.

Exhibit 1: May 2026 industrial production data

May 2026 Production Data		May 2026	MoM May 2026	YoY May 2026	YoY											
					Apr 2026	Mar 2026	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25	2026YTD
Crude steel (Mnt)		84.4	0.9%	-2.7%	-2.8%	-6.3%	-3.6%	-10.3%	-10.9%	-12.1%	-4.6%	-0.7%	-4.0%	-9.2%	-6.9%	-3.9%
Finished steel (Mnt)		123.0	0.3%	-2.8%	-1.7%	-2.3%	-1.1%	-3.8%	-2.6%	-0.9%	5.1%	9.7%	6.4%	1.8%	3.4%	-1.5%
Cement (Mnt)		149.9	2.9%	-8.1%	-10.8%	-21.0%	6.8%	-6.6%	-8.2%	-15.8%	-8.6%	-6.2%	-5.6%	-5.3%	-8.1%	-8.6%
Aluminum (Mnt)		3.9	0.5%	1.7%	3.1%	2.7%	3.0%	3.0%	2.5%	0.4%	1.8%	-0.5%	0.6%	3.4%	5.0%	3.5%
Glass (mn wt cases)		75.5	3.6%	-6.3%	-7.9%	-6.6%	-3.5%	3.4%	3.7%	3.3%	-9.7%	-2.0%	-3.4%	-4.5%	-5.7%	-6.3%
Coal production (Mnt)		397.2	3.0%	-1.7%	-1.0%	0.0%	-0.3%	-1.0%	-0.5%	-2.3%	-1.8%	-3.2%	-3.8%	3.0%	4.2%	-0.3%
Thermal power generation (kWh bn)		472.6	1.9%	2.1%	3.1%	4.2%	3.3%	-3.2%	-4.2%	7.3%	-5.4%	1.7%	4.3%	1.1%	1.2%	3.4%
FAI, % YoY		-12.5%	-14.1ppt	-12.5%	-9.4%	1.6%	-4.4%	-15.1%	-12.0%	-12.2%	-7.1%	-7.1%	-5.3%	-0.1%	2.7%	-4.1%
IP, % YoY		4.5%	-1.2ppt	4.5%	4.1%	5.7%	6.3%	5.2%	4.8%	4.9%	6.5%	5.2%	5.7%	6.8%	5.8%	5.4%
Property																
FS starts (mn sqm)		40.3	14.2%	-24.7%	-27.1%	-17.1%	-23.1%	-19.3%	-27.7%	-29.3%	-15.0%	-19.8%	-15.2%	-9.5%	-18.7%	-24.7%
FS sold (mn sqm)		60.6	5.7%	-14.1%	-10.3%	-8.0%	-13.5%	-16.6%	-17.9%	-19.6%	-11.9%	-11.0%	-8.4%	-6.6%	-4.6%	-14.1%
FS completions (mn sqm)		22.0	5.0%	-19.6%	-19.0%	-19.3%	-27.9%	-18.4%	-25.4%	-27.9%	0.4%	-21.3%	-29.4%	-2.2%	-19.1%	-19.6%
Investment (Rmb bn)		638.7	2.2%	-24.9%	-20.1%	-11.7%	-10.3%	-36.8%	-31.4%	-23.2%	-21.3%	-19.9%	-17.1%	-12.4%	-12.4%	-16.2%
Infrastructure FAI																
Highway (Rmb bn)*		350.3	24.8%	-13.8%	-18.1%	5.6%	-0.6%	-18.4%	-8.7%	-15.4%	0.9%	-11.6%	-16.6%	3.4%	1.1%	-5.7%

Source: National Bureau of Statistics, Morgan Stanley Research. *Note: Railway and highway FAI growth is rebased.

The following material was published in our recent report: [China Materials: May Trade Data: Aluminium Exports Increase Further \(9 Jun 2026\)](#)

Steel exports in May decreased 2% YoY, but improved 9% MoM to 10.3Mt, likely reflecting a low base in April. Exports for 5M26 totaled 44.6Mt, -8% YoY. Daily production at CISA member mills declined 4.4% YoY in May (vs -5.7% YoY in April).

China's imports of copper and copper products (refined + alloys) totaled 446kt in May, down 1% MoM but up 4% YoY. The import arbitrage opened intermittently during April and May despite rising copper prices, with net refined imports in April reaching the highest

level since September 2025. Inventory draws slowed in May. The Yangshan premium ranged between US\$60 and US\$75/t, indicating continued solid physical demand. Copper ore and concentrate imports declined 1% MoM and were flat YoY at 2.35Mt, while treatment charges continued to fall as strong sulphuric acid prices supported smelter margins. Chinese refined copper output growth also slowed in April.

Aluminium and product exports rose 6% MoM and 16% YoY to 632kt in May, the highest level since November 2024. Supply disruptions in the Middle East tightened ex-China markets and lifted LME prices, widening the export arbitrage. Chinese inventories have begun to decline, particularly as semis exports increase.

China's iron ore imports totalled 98Mt in May, down 6% MoM and flat YoY. Port inventories in China began to draw down gradually during the month but remain elevated. Pig iron production at steel mills is down 2% YTD, compared with a 4% YTD decline in crude steel output.

Coal imports declined 8% YoY but rose by 1% MoM in May to 33Mt. Total coal imports YTD reached 183Mt, down 3% YoY. The decline reflected seasonal weakness in demand during a slower consumption period, along with higher imported coal prices. As domestic coal prices increased, the import arbitrage reopened, which we expect to support a MoM rebound in coal imports in June.

Exhibit 2: China: May 2026 trade data

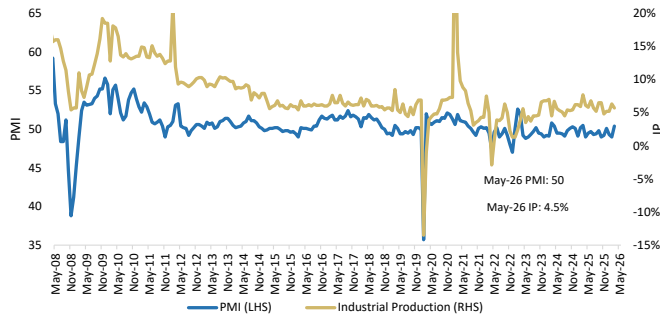
May 2026 Trade data		May 2025 - May 2026	Jan+Feb												2026YTD
			May-26	Apr-26	Mar-26	2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25	
Finished Steel Imports (kt)			451	465	512	827	517	496	503	548	500	452	470	481	2,255
	Change %, YoY		-6%	-11%	2%	-21%	-17%	5%	-6%	-1%	-2%	-10%	-18%	-24%	-12%
Finished Steel Exports (kt)			10,341	9,498	9,135	15,591	11,301	9,980	9,782	10,465	9,510	9,836	9,678	10,578	44,554
	Change %, YoY		-2%	-9%	-13%	-8%	16%	8%	-13%	3%	0%	26%	11%	10%	-8%
Iron Ore Imports (mnt)			98	104	105	210	120	111	111	116	105	105	106	98	516
	Change %, YoY		0%	1%	11%	10%	6%	9%	7%	12%	4%	2%	9%	-4%	6%
Copper and Products Imports (kt)			446	452	416	700	437	427	438	485	425	480	464	427	2,013
	Change %, YoY		4%	3%	-11%	-16%	-22%	-19%	-13%	1%	2%	10%	6%	-17%	-7%
Copper Ores & Concentrates Imports (kt)			2,361	2,352	2,630	4,934	2,704	2,526	2,451	2,587	2,759	2,560	2,350	2,395	12,275
	Change %, YoY		-1%	-20%	10%	5%	7%	13%	6%	6%	7%	18%	2%	6%	-1%
Aluminum and Products Exports (kt)			632	598	485	971	545	570	503	521	534	542	489	547	2,685
	Change %, YoY		16%	15%	-4%	13%	8%	-15%	-13%	-7%	-10%	-8%	-20%	-3%	10%
Coal Imports (mnt)			33	33	39	77	59	44	42	46	43	36	33	36	183
	Change %, YoY		-8%	-13%	1%	1%	12%	-20%	-10%	-3%	-7%	-23%	-26%	-18%	-3%
	Change %, MoM		1%	-15%	26%	NA	33%	6%	-9%	8%	20%	8%	-8%	-5%	NA

Source: General Administration of Customs, Morgan Stanley Research.

China – Macro Monitor

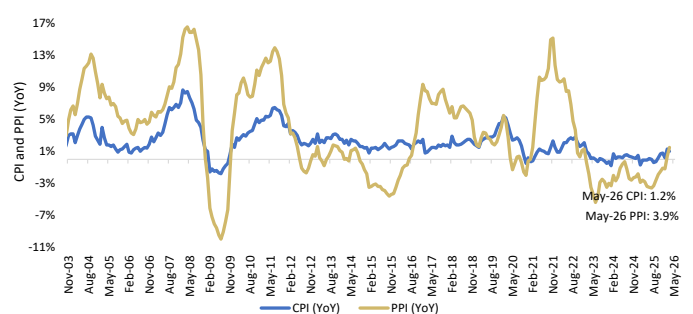
- May PMI +50 (April +50.3). May Industrial production was +4.5% YoY (April +4.1%).
- May CPI rose 1.2% YoY (1.2% April), while PPI increased 3.9% YoY (2.8% April).
- Power generation grew 4.2% YoY in May vs. a rise of 2.6% YoY in April.
- M2 supply in May was up 8.6% YoY (April +8.6% YoY).

Exhibit 3: Chinese PMI and IP



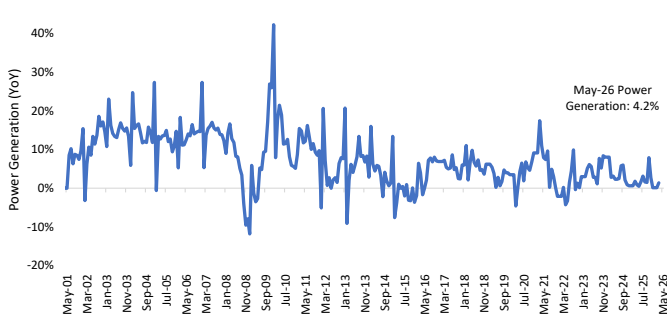
Source: Refinitiv, Morgan Stanley Research.

Exhibit 4: Chinese CPI and PPI



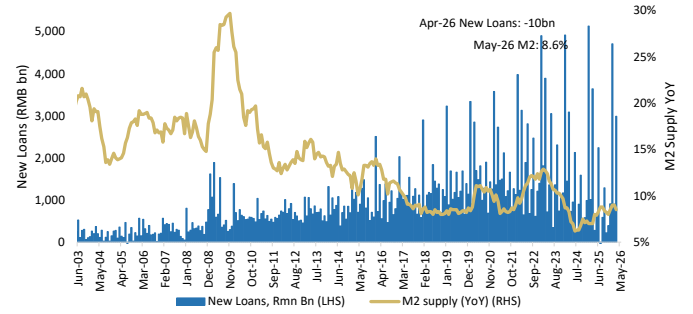
Source: Refinitiv, Morgan Stanley Research.

Exhibit 5: Chinese power generation

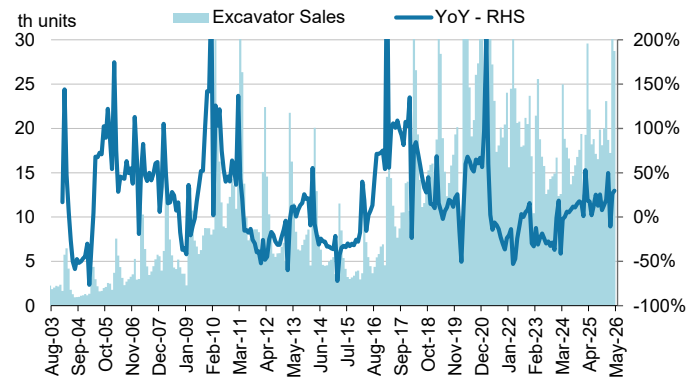


Source: Refinitiv, Morgan Stanley Research.

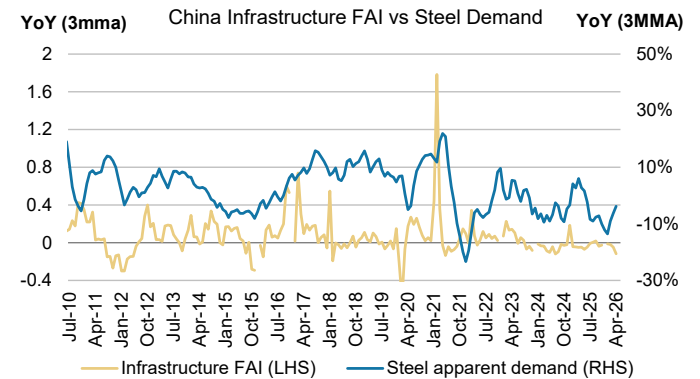
Exhibit 6: Chinese new loans and M2 supply



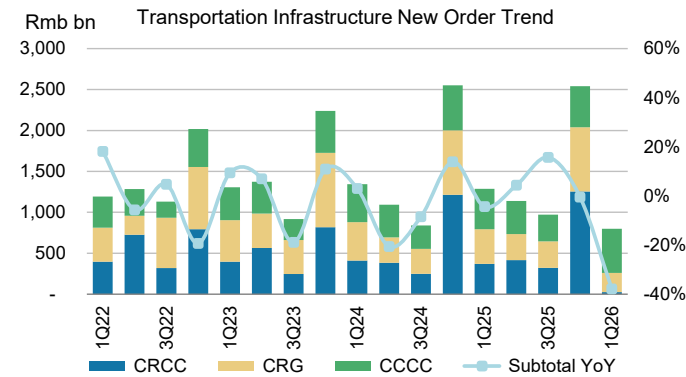
Source: Refinitiv, Morgan Stanley Research.

Exhibit 7: China – Excavator sales

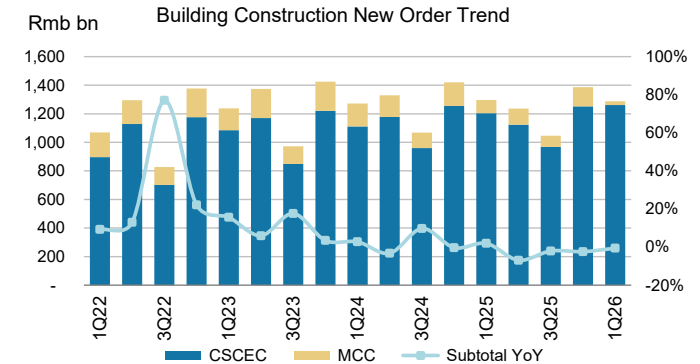
Source: CEIC, Morgan Stanley Research.

Exhibit 8: China – infrastructure spending

Source: CEIC, Morgan Stanley Research.

Exhibit 9: Transportation infrastructure new orders reported by large infrastructure construction groups

Source: Company data, Morgan Stanley Research.

Exhibit 10: Building construction new order trend for CSCEC and MCC

Source: Company data, Morgan Stanley Research.

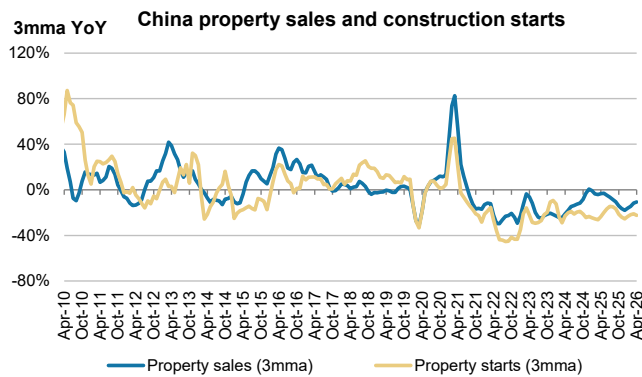
China – Property Update

Mixed May

Home sales improved in May amid mixed home price trends, but the sharp slowdown in secondary home sales in June could weaken the property metrics in 3Q given still-elevated inventory, fragile buyer sentiment, and subdued outlook for household income.

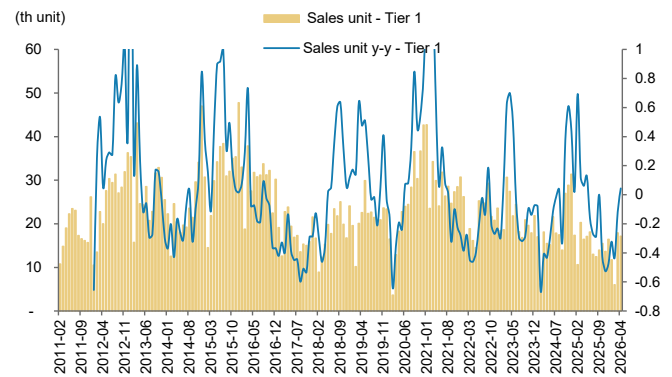
See: [China Property: Monthly Tracker: Mixed May; Renewed Weakness Ahead \(23 Jun 2026\)](#)

Exhibit 11: China – Property sales and new starts



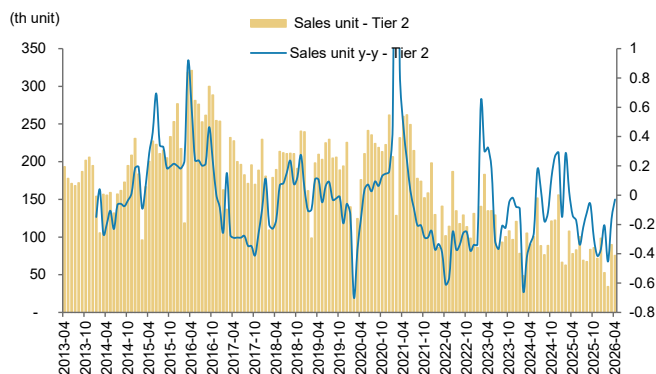
Source: CEIC, Morgan Stanley Research.

Exhibit 12: Chinese Property – Monthly units sold in Tier 1 cities



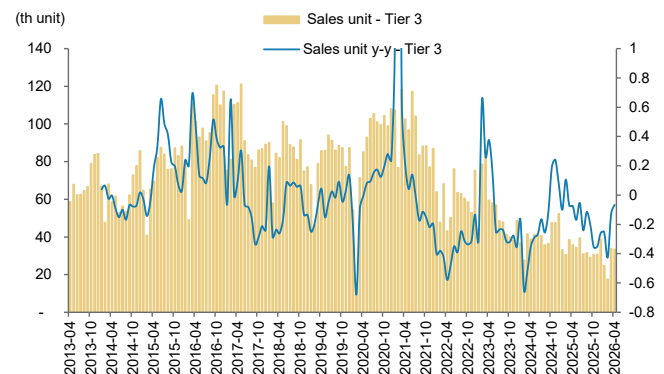
Source: CREIS, Morgan Stanley Research.

Exhibit 13: Chinese Property – Monthly units sold in Tier 2 cities



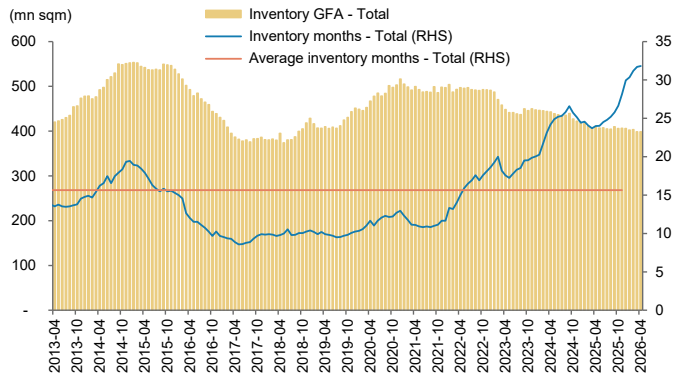
Source: CREIS, Morgan Stanley Research

Exhibit 14: Chinese Property – Monthly units sold in Tier 3 cities



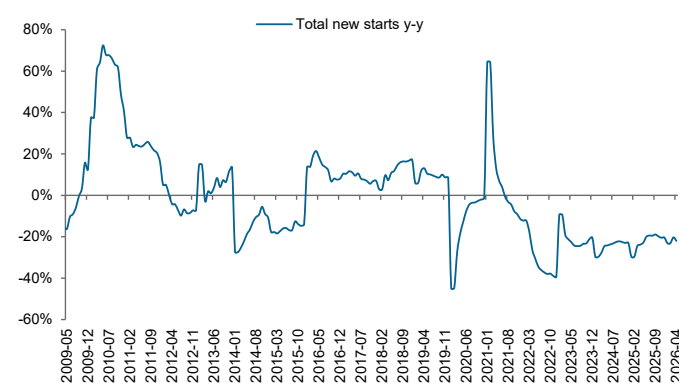
Source: CREIS, Morgan Stanley Research

Exhibit 15: Chinese Property – Total inventory months



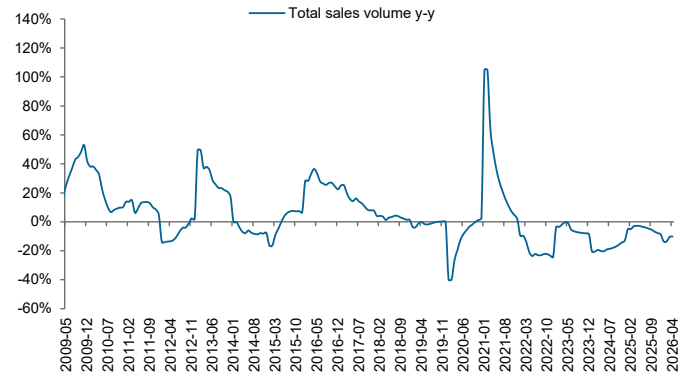
Source: CREIS, Morgan Stanley Research.

Exhibit 16: Chinese Property – YTD new starts, by city tier



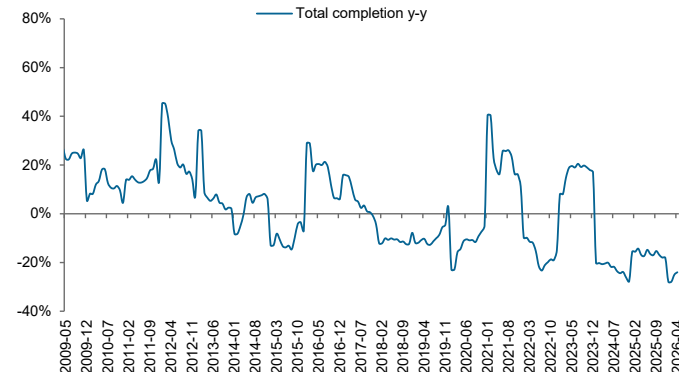
Source: NBS, CEIC, Morgan Stanley Research. Note: The tiered cities include four tier 1 cities: Beijing, Shanghai, Guangzhou, Shenzhen; 15 tier 2 cities: Fuzhou, Nanchang, Tianjin, Chongqing, Chengdu, Hangzhou, Nanjing, Wuhan, Suzhou, Dalian, Shenyang, Qingdao, Jinan, Xiamen, Xi'an; and nine tier 3 cities: Dongguan, Guiyang, Wenzhou, Baotou, Bangbu, Huizhou, Sanya, Zhongshan, Shaoguan.

Exhibit 17: Chinese Property – YTD sales



Source: NBS, CEIC, Morgan Stanley Research.

Exhibit 18: Chinese Property – YTD completion



Source: NBS, CEIC, Morgan Stanley Research.

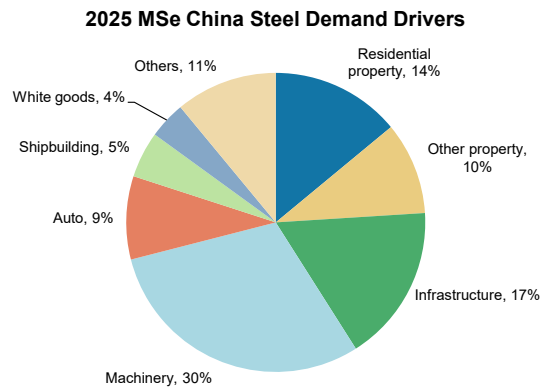
China – Steel and Iron Ore Update

May - MoM Uptick, But Still Lower YoY

China's May finished-steel net exports rose ~10% MoM day-adjusted to 9.89mt (~119mtpa), but remain ~8% lower YoY. Europe is increasingly insulated as imports are constrained, regional HRC premiums widen and CBAM/safeguards reinforce price floors and EBITDA/t upside.

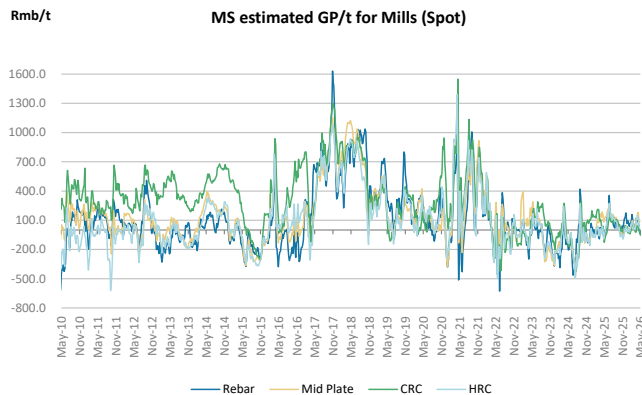
See: [China Steel Exports: May - MoM Uptick, But Still Lower YoY \(9 Jun 2026\)](#)

Exhibit 19: Consumption of steel in China



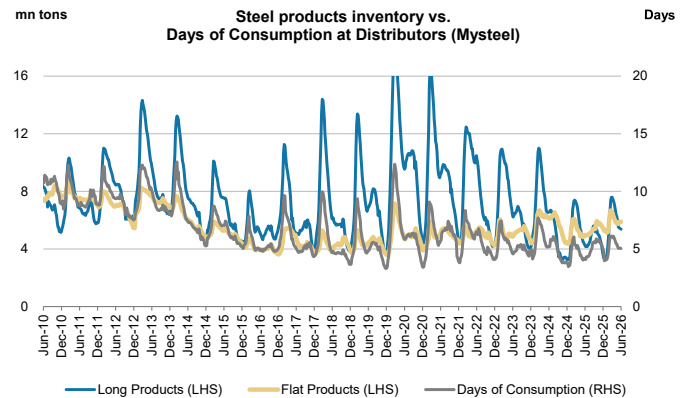
Source: Antaike, Morgan Stanley Research (MSe)

Exhibit 21: GP/t for mills at spot prices



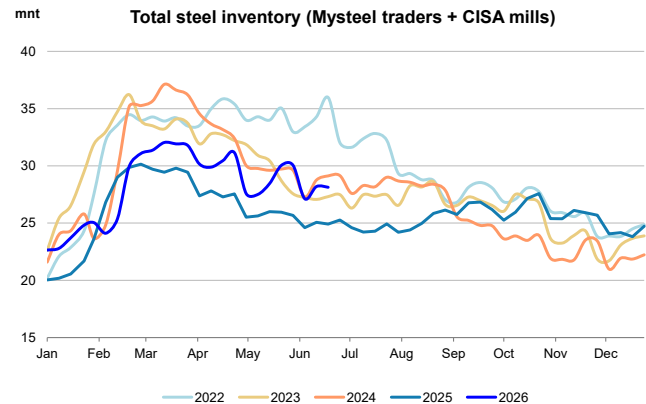
Source: Bloomberg, Morgan Stanley Research.

Exhibit 20: Steel product inventory at distributors

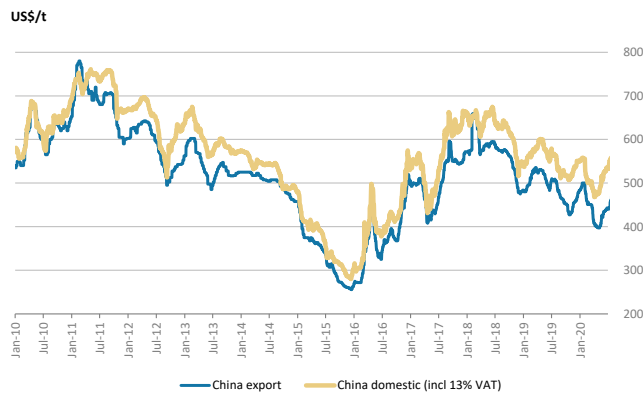


Source: Mysteel, Morgan Stanley Research.

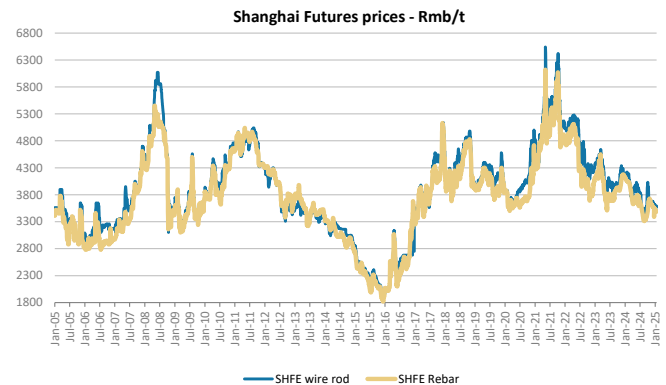
Exhibit 22: Total steel inventory in China (traders + mills)



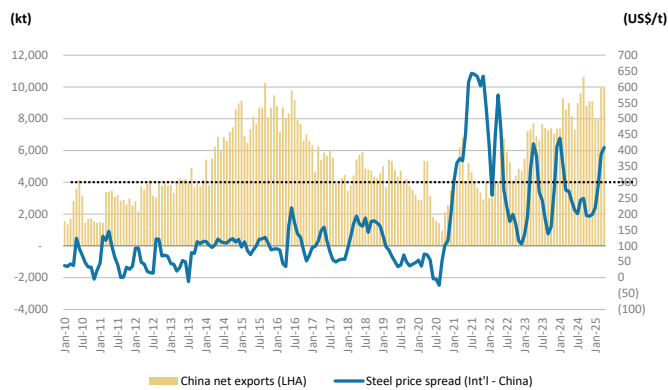
Source: Mysteel, CISA, Morgan Stanley Research.

Exhibit23: Spread between Chinese export prices and domestic prices

Source: Bloomberg, Morgan Stanley Research.

Exhibit24: Shanghai steel futures prices

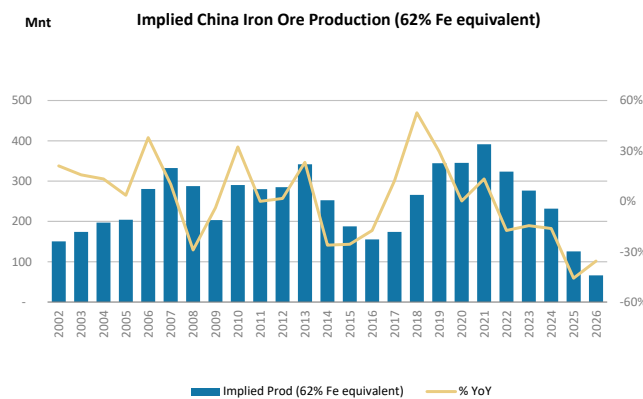
Source: Bloomberg, Morgan Stanley Research.

Exhibit25: Chinese exports vs. international HRC price spread

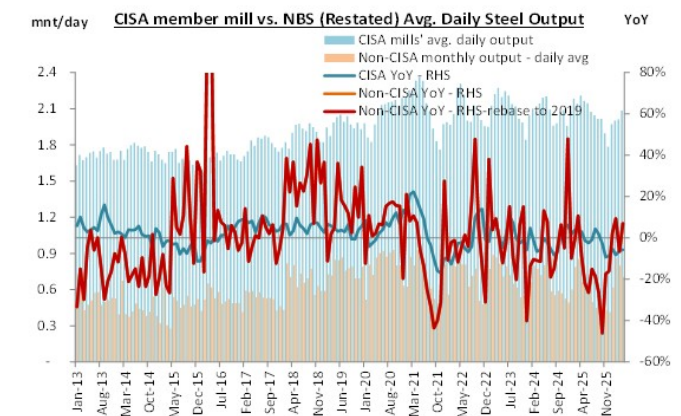
Source: Bloomberg, Morgan Stanley Research.

Exhibit26: Asian steel contract prices vs. East Asian spot

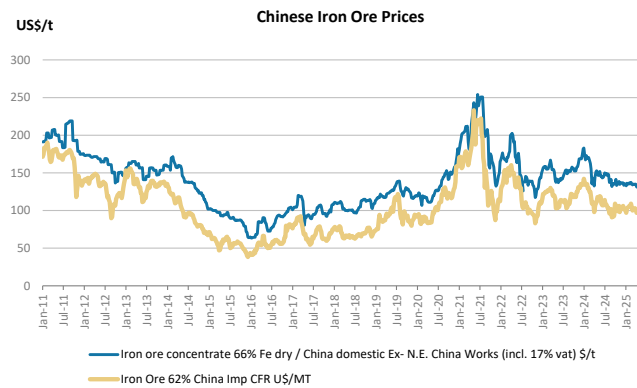
Source: Bloomberg, Morgan Stanley Research.

Exhibit27: Implied China iron ore production (62% Fe equivalent)

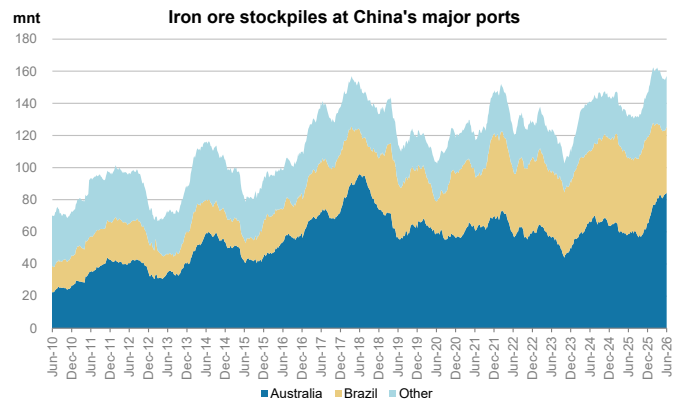
Source: CEIC, Morgan Stanley Research.

Exhibit 28: CISA member mill vs. NBS (restated) average daily steel output

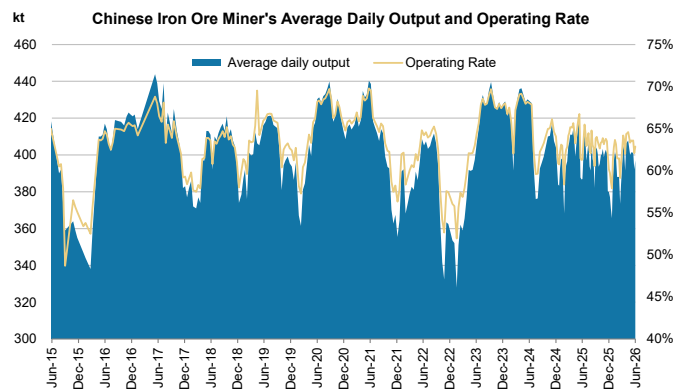
Source: CISA, CEIC, Morgan Stanley Research.

Exhibit29: China – Iron ore prices

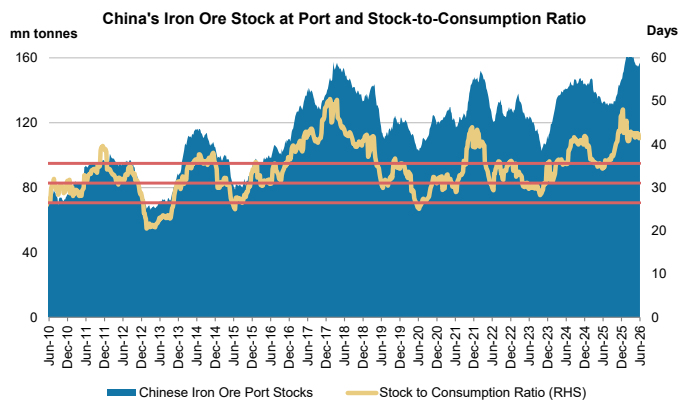
Source: Datastream, Morgan Stanley Research.

Exhibit30: Iron ore inventories at China's major ports

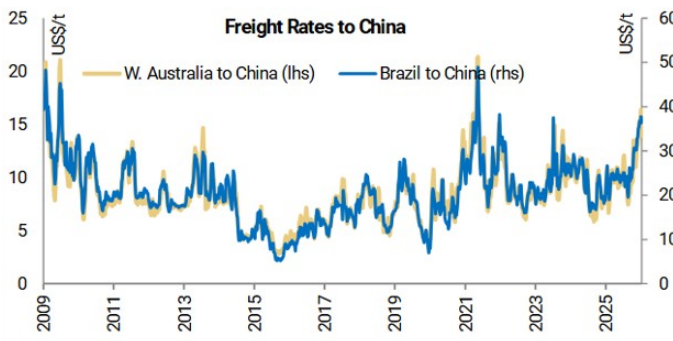
Source: MySteel, Morgan Stanley Research.

Exhibit31: Chinese iron ore miners' average daily output and operating rate

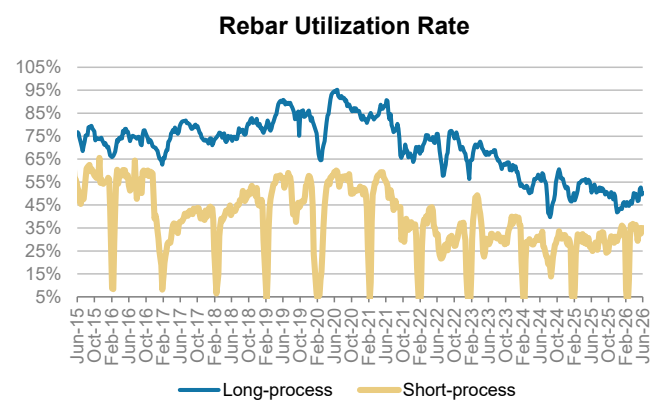
Source: MySteel, Morgan Stanley Research.

Exhibit 32: China's iron ore stock at ports and stock-to-consumption ratio

Source: Mysteel, NBS, CEIC, Morgan Stanley Research.

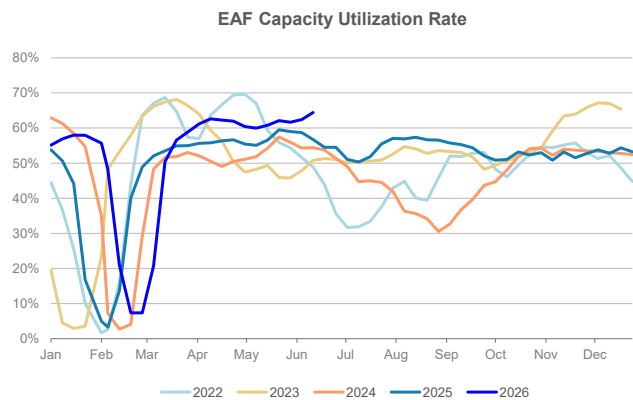
Exhibit33: Brazilian and West Australian freight rates

Source: Bloomberg, Morgan Stanley Research

Exhibit34: Rebar utilization rate

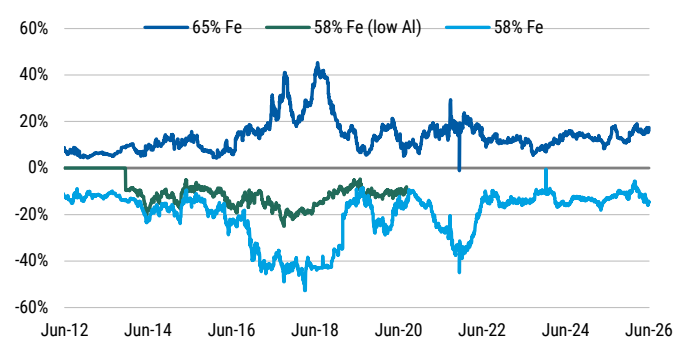
Source: Mysteel, Morgan Stanley Research

Exhibit35: Electric arc furnace (EAF) capacity utilization rate



Source: MySteel, Morgan Stanley Research.

Exhibit 36: Iron ore prices: -discount/+premium vs. 62% Fe (%)



Source: Morgan Stanley Research, Tex Report, Platts; Note: Sourced from our Commodities team

China – Coal Update

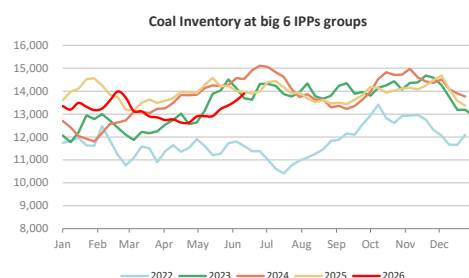
Domestic Coal Prices Firm as Summer Demand Outlook Supports Further Upside

Thermal coal prices were stable, and domestic coking coal prices continued to hold firm while seaborne prices dropped. Coal inventories of the six major Chinese coastal power groups were up 1.74% WoW and roughly in line with the year-ago level, translating into 17.96 inventory days, but still below the national required level of 20 days. Moving forward into the traditional peak consumption season, restocking demand should re-emerge as power plant consumption picks up, thus supporting the short-term outlook.

See: [China Coal: Weekly Coal Update: Power Plant Restocking Demand Supports Short-term Outlook \(22 Jun 2026\)](#)

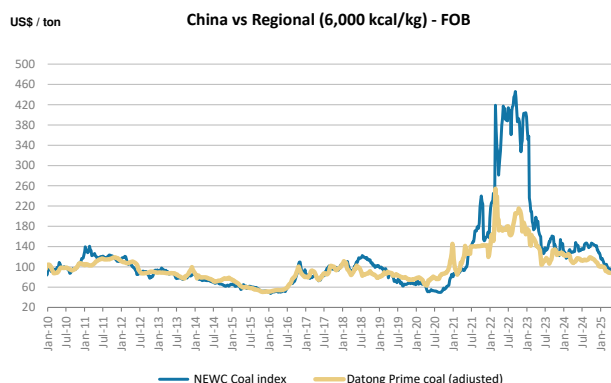
The following material was published in the report titled: [China Coal: Weekly Coal Update: Power Plant Restocking Demand Supports Short-term Outlook \(22 Jun 2026\)](#)

Exhibit 37: Chart of the Week – Coal Inventory at China's big 6 IPPs Groups



Source: Sxcoal, Morgan Stanley Research.

Exhibit 39: China vs. regional FOB thermal coal prices



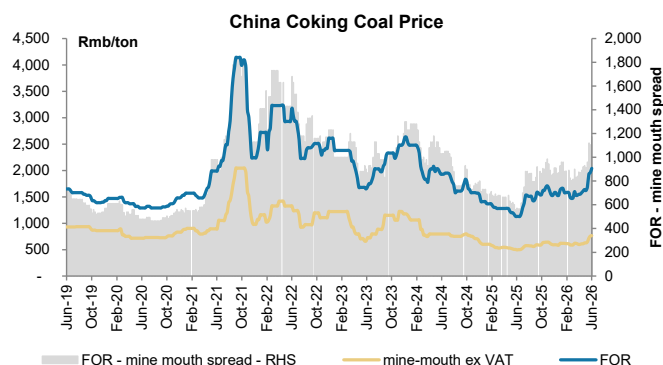
Source: Bloomberg, CCTD, Morgan Stanley Research.

Exhibit 38: Data for the week

		19-Jun	WoW	YTD	YTD avg	'25 avg	YTD vs '25
Regional							
NEWC thermal coal	US\$/ton	144	-5.3%	32.1%	128	106.6	19.9%
QLD coking coal	US\$/ton	243	-0.8%	11.5%	234	189.0	23.6%
China							
QHD 5500 kcal/kg	Rmb/ton	727	0.0%	4.6%	700	684	2.4%
CCI 5500 kcal/kg	Rmb/ton	865	0.0%	26.8%	766	864	-11.3%
BSPI	Rmb/ton	714	0.0%	2.7%	694	682	1.7%
Liulin No. 4 mine-mouth	Rmb/ton	865	1.2%	29.1%	709	641	10.5%
Liulin No. 4 FOR	Rmb/ton	2,040	4.1%	29.1%	1,626	1,399	16.2%
QHD Inventory	mt	6.60	1.5%	-5.3%	6.12	6.37	-4.0%

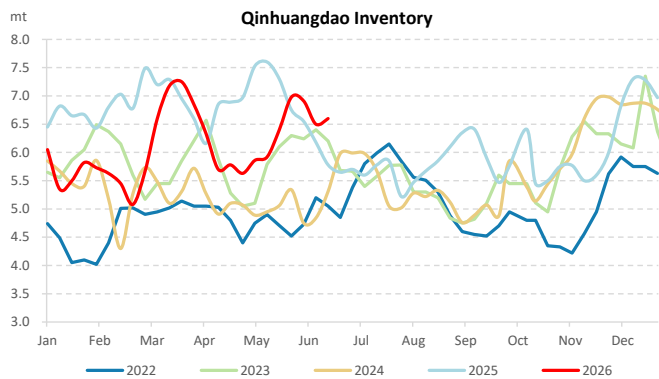
Note: QLD = Queensland; QHD = Qinhuangdao; CCI = China Coal Index; BSPI = Bohai-Rim Steam-Coal Price Index; FOR = Free on Rail. Source: China Coal Transport and Distribution Association (CCTD), McCloskeys, Morgan Stanley Research.

Exhibit 40: China's coking coal prices – Mine-mouth vs. FOR



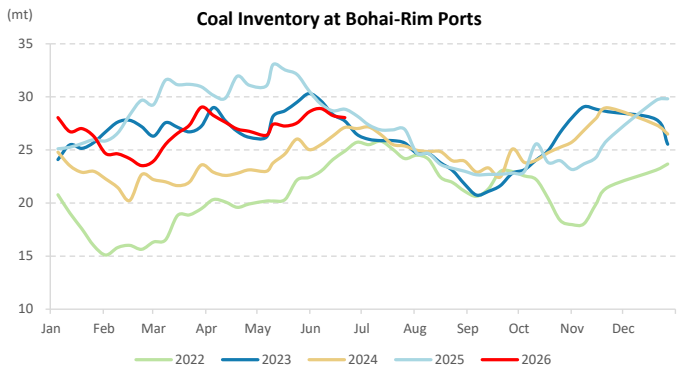
Source: Bloomberg, CCTD, Morgan Stanley Research

Exhibit41: Coal inventory at QHD port



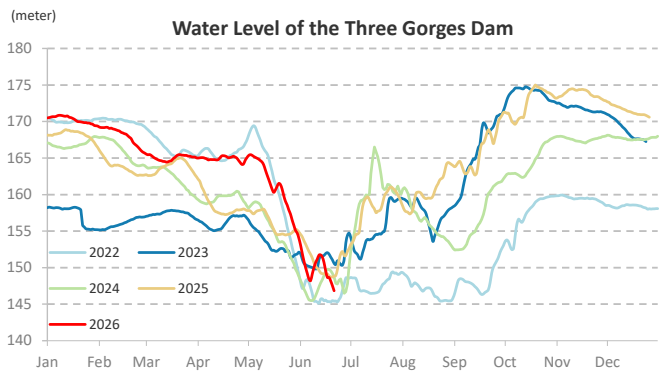
Source: CCTD, Morgan Stanley Research

Exhibit 42: Coal inventory at Bohai Rim ports



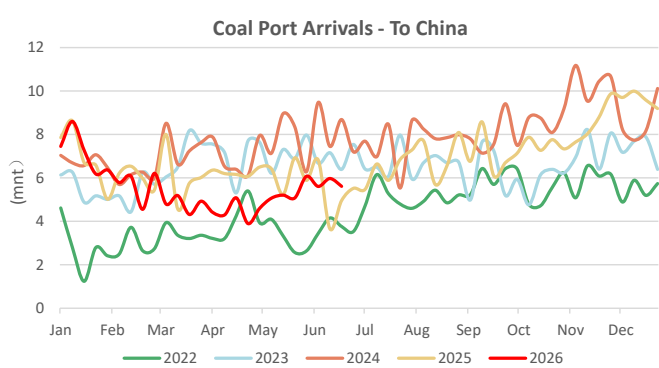
Source: CCTD, Morgan Stanley Research. Note: Bohai Rim Ports include QHD Port, Huanghua Port, Tianjin Port, Caofeidian Port, and Jingtang Port..

Exhibit 43: Water level of Three Gorges Dam



Source: Wind, Morgan Stanley Research

Exhibit 44: China's weekly coal arrivals



Source: Bloomberg, Morgan Stanley Research

Major Theme of the Month

Metals in the Eye of El Niño

NOAA has confirmed an El Niño for this year and raised the probability of a very strong event to 63%. Implications for metals include risks to copper production in Chile and Zambia, and potential impacts on some aluminium, zinc and lithium supply. Thermal coal would likely see higher demand.

For further details, see [metal&ROCK: Metals in the Eye of El Niño \(17 Jun 2026\)](#)

El Niño raises copper supply risks: El Niño has officially emerged and is expected to strengthen, with NOAA confirming that Pacific Ocean surface temperatures have warmed sufficiently to trigger an atmospheric response. It has assigned a 63% probability of a very strong event, potentially the strongest on record. This poses notable supply risks for metals, particularly copper, as El Niño could disrupt Chilean production through floods and infrastructure damage, while drought conditions in Zambia may strain its hydropower-dependent grid and impact output.

Other metals at risk too: El Niño poses broader risks across metals markets, with drought threatening hydropower supply for aluminium and zinc smelters in China's Yunnan, while heavier rainfall in Peru and Chile could disrupt zinc and lithium production. Iron ore impacts are likely mixed as favourable conditions in Australia and northern Brazil may support output, but excess rain could hinder logistics in southern Brazil. Meanwhile, thermal coal demand is expected to rise, as hotter Asian summers increase power consumption and drought reduces hydropower reliability, driving greater reliance on coal, albeit unevenly across regions.

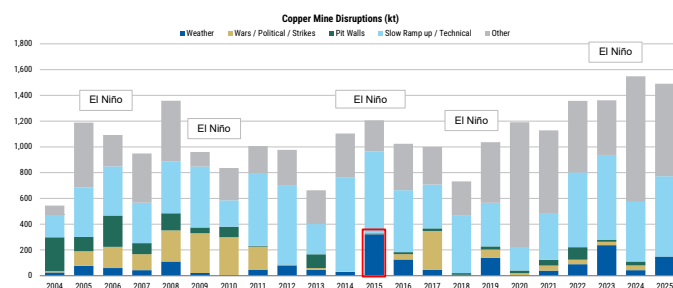
MS outlook: With a more mixed macro backdrop as interest rate uncertainty builds, metals have become more linked to idiosyncratic drivers, making disruptions more important. All else equal, the El Niño event should bring upside risks to prices, particularly if more severe weather is observed. We watch copper in particular where supply has already faced significant disruptions YTD (see [note](#)), and remain constructive on [thermal coal](#) into the summer, with El Niño adding upside risk to demand.

Exhibit 45: El Niño brings the clearest supply risk to copper, while impacts across other metals are more mixed; the influence of El Niño on the thermal coal market is mainly an upside risk to demand

Metal	Key exposed region(s)	Impact	Overall supply risk
Copper	Chile, Zambia	Chile: Floods, mudslides, infrastructure damage Zambia: Drought, hydropower shortage	High
Aluminium	China (Yunnan)	Drought, hydropower shortage	Moderate
Zinc	China (Yunnan), Peru	Yunnan: Drought, hydropower shortage Peru: Floods, mudslides, infrastructure damage	Moderate
Lithium	Chile	Increased rainfall, brine dilution, road/rail disruption	Moderate
Iron ore	Brazil, Australia	North Brazil: Reduced rainfall South Brazil: Increased rainfall, rail/port disruption Australia: Reduced cyclone frequency	Low-moderate
Thermal coal	Australia, Asia	Australia: Reduced rainfall, reduced flood disruptions Indonesia: Reduced rainfall, logistics disruption	Low
Nickel	Indonesia	Reduced rainfall, improved logistics	Low (potentially supportive)
Met coal	Australia	Hot, dry weather, reduced logistics disruptions	Low (potentially supportive)

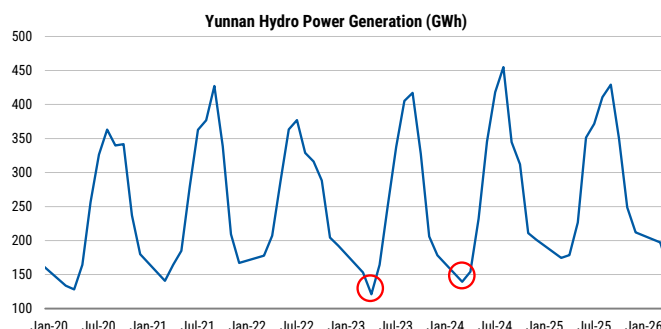
Source: Morgan Stanley Research

Exhibit 46: El Niño shows a correlation with increased weather-related disruptions



Source: Wood Mackenzie

Exhibit 47: Weather patterns influence Yunnan's hydro generation with prolonged droughts bringing deeper troughs at the start of the year



Source: Bloomberg, Morgan Stanley Research

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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INDUSTRY COVERAGE: Australia Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/26/2026)
Rahul Anand, CFA		
BHP Group Ltd (BHPB.L)	O (09/19/2024)	3,064p
BHP Group Ltd (BHGJ.J)	O (09/19/2024)	ZAc 66,213
BHP Group Ltd (BHP.AX)	O (09/19/2024)	A\$58.99
Boss Energy Ltd (BOE.AX)	O (01/16/2026)	A\$1.01
Deterra Royalties Ltd (DRR.AX)	O (01/16/2026)	A\$4.58
Fortescue Metals Group Ltd. (FMG.AX)	U (01/16/2026)	A\$19.07
IGO Ltd (IGO.AX)	U (07/15/2025)	A\$7.31
Iluka Resources Ltd (ILU.AX)	O (05/22/2025)	A\$6.90
Lynas Rare Earths (LYC.AX)	E (04/14/2026)	A\$18.54
Mineral Resources Limited (MIN.AX)	++	A\$63.14
Paladin Energy Ltd (PDN.AX)	O (10/08/2025)	A\$9.35
PLS Group Ltd (PLS.AX)	E (04/14/2026)	A\$5.04
Rio Tinto Limited (RIO.AX)	E (04/09/2025)	A\$173.64
Sandfire Resources Ltd (SFR.AX)	U (12/16/2024)	A\$18.89
South32 Ltd (S32.AX)	O (12/16/2024)	A\$3.91
South32 Ltd (S32J.J)	O (12/16/2024)	ZAc 4,468
Whitehaven Coal Ltd (WHC.AX)	O (04/14/2026)	A\$8.07
Shannon J Sinha		
Nickel Industries (NIC.AX)	E (04/09/2025)	A\$0.90

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* Historical prices are not split adjusted.

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